



Express Kenya Limited

The audited results for the group as at 31 December 2010 are annouced as follows :

Consolidated Income Statement For The Year Ended 31 December 2010

	Total Consolidated 2010 Kshs 000'	Total Consolidated 2009 Kshs 000'
Revenue	856,512	892,928
Cost of sales	(484,586)	(500,610)
Gross Profit	371,926	392,318
Profit on sale of property and equipment	6,400	2,418
Fair value changes on investment property	(29,723)	0
Operating expenses	(178,982)	(183,613)
Depreciation on property, plant and equipment	(84,441)	(131,611)
Profit from operations	85,180	79,512
Net financing costs	(100,049)	(53,596)
(Loss)/Profit before tax	(14,869)	25,916
Tax	(13,222)	(10,846)
(Loss)/Profit after tax	(28,091)	15,070
Less Minority interest	22,700	(9,847)
(Loss)/Profit attributable to equity holders	(5,391)	5,223
Basic and diluted (loss)/earnings per share	Kshs (0.15)	Kshs 0.15

Consolidated Cash Flow Statements For The Year Ended 31 December 2010

	2010 Kshs 000'	2009 Kshs 000'
Cash and cash equivalent at 1 January	(157,779)	(254,880)
Net Cash :		

summary - newsp

Net cash inflows from operating activities	126,106	117,582
Net cash used in investing activities	(120,304)	(170,946)
Net cash from/(used in) financing activities	(82,086)	150,465
Cash and cash equivalent at 31 December	(234,063)	(157,779)

Consolidated Balance Sheet At 31 December 2010

	Group		Company	
	2010	2009	2010	2009
	Kshs	Kshs	Kshs	Kshs
ASSETS				
Non current assets	1,162,617	1,150,331	959,568	923,795
Current assets	179,082	153,785	178,086	151,172
TOTAL ASSETS	1,341,699	1,304,116	1,137,654	1,074,967
EQUITY AND LIABILITIES				
Capital and reserves				
Share capital	177,018	177,018	177,018	177,018
Reserves	219,350	224,741	235,648	206,528
Minority interest	(12,006)	10,694	0	0
Non current liabilities	397,396	389,913	213,696	225,239
Current liabilities	559,941	501,750	511,292	466,182
TOTAL EQUITY AND LIABILITIES	1,341,699	1,304,116	1,137,654	1,074,967

Consolidated Statement Of Changes In Equity For The Year Ended 31December 2010

	Share Capital	Share Premium	Revaluation Reserve	Retained Earnings	Total	Minority Interest	Total Equity
	Kshs 000'	Kshs 000'	Kshs 000'	Kshs 000'	Kshs 000'	Kshs 000'	Kshs 000'
Balance as at 31 December 2009	177,018	10,501	122,658	91,582	401,759	10,694	412,453
Net loss for the year	0	0	0	(5,391)	(5,391)	(22,700)	(28,091)

Excess depreciation transfer	0	0	(3,157)	3,157	0	0	0
Deferred tax on excess depreciation transfer	0	0	947	(947)	0	0	0
Balance as at 31 December 2010	177,018	10,501	120,448	88,401	396,368	(12,006)	384,362

The financial statements were approved by the board of directors on 29th April 2011 and were audited by KPMG Kenya and received an unqualified audit opinion.

Performance

Taking into account the challenges, both external and internal, the Group has had a difficult year and this is indicated by the result. Reduced economic activity and soaring of the fuel price worldwide has had a negative effect on the group results. The company has received communication from our main customer that the transport contract will be terminated following the restructuring of its logistic division.

Furthermore, In 2010 the Group revalued its investment property which resulted in fair value loss that has significantly impacted the group results.

Future outlook

The Company has adopted a Four year strategic business plan that will cover the period 2010-2013. The directors are optimistic that the new Vision and Mission will ensure profitability and energize the Group to new heights.

The group will continue to pursue other logistic services by tapping into new profitable opportunities.

Dividend

The directors do not recommended payment of a dividend.

Express Kenya Limited
Consolidated Income Statement For The Year Ended 31 December 2010

	Total Consolidated 2010 Kshs 000'	Total Consolidated 2009 Kshs 000'
Revenue	856,512	892,928
Cost of sales	(484,586)	(500,610)
Gross Profit	371,926	392,318
Profit on sale of property, plant and equipment	6,400	2,418
Fair value changes on investment property	(29,723)	0
Operating expenses	(178,981)	(183,613)
Depreciation on property, plant and equipment	(84,442)	(131,611)
Profit from operations	85,180	79,512
Net financing costs	(100,049)	(53,596)
Profit before tax	(14,869)	25,916
Tax	(13,222)	(10,846)
(Loss)/Profit after tax	(28,091)	15,070
Less Minority interest	22,700	(9,847)
(Loss)/Profit attributable to equity holders	(5,391)	5,223
Basic and diluted (loss)/earnings per share	Kshs (0.15)	Kshs 0.15

Approved by :

Dr.Chris Obura
Chairman

Express Kenya Limited
Consolidated Balance Sheet At 31 December 2010

	Group		Company		
	2010	2009	2010	2009	
	Kshs	Kshs	Kshs	Kshs	
Non current assets					
Property, plant and equipment	744,381	702,118	744,351	702,084	
Investment property	365,000	394,723	0	0	
Prepaid operating lease rentals	7,236	7,490	7,236	7,490	
Intangible asset	0	0		0	
Advances to related company		0	154,000	160,241	
Investment in subsidiaries		0	53,981	53,981	
Goodwill	46,000	46,000		0	
	1,162,617	1,150,331	959,568	923,796	
Current assets					
Stocks	2,418	8,872	2,418	8,872	
Trade and other receivables	148,006	130,852	147,848	129,087	
Tax recoverable	22,709	11,807	22,484	11,582	
Cash and cash equivalents	5,948	2,254	5,336	1,631	
	179,081	153,785	178,086	151,172	
TOTAL ASSETS	1,341,698	1,304,116	1,137,654	1,074,967	
EQUITY AND LIABILITIES					
Capital and reserves					
Share capital	177,018	177,018	177,018	177,018	
Share premium	10,501	10,501	10,501	10,501	
Revaluation reserve	120,448	122,658	120,448	122,658	
Reserves - bfwd	93,792	86,359	75,579	59,542	
P&L for the year	(5,392)	5,223	29,120	13,827	104,699
Proposed Dividends	0	0	0	0	75,579
	396,367	401,759	412,666	383,546	

Consolidation-BS

Minority interest	(12,006)	10,694	0	0
Non current liabilities				
Deferred tax	116,541	103,319	116,541	103,319
Finance lease payables	97,155	121,920	97,155	121,920
Borrowing from bank	183,700	164,674		0
	397,396	389,913	213,696	225,239
Current liabilities				
Loans and borrowings	56,304	72,341	20,000	21,293
Finance lease payables	127,346	187,655	127,346	187,655
Bank overdraft	240,011	160,033	240,011	160,033
Trade and other payables	136,280	81,721	120,720	81,284
Due to group		0	3,215	15,917
	559,941	501,750	511,292	466,183
TOTAL EQUITY AND LIABILITIES	1,341,698	1,304,116	1,137,654	1,074,967

Approved by :

Dr.Chris Obura
Chairman

Express Kenya Limited

Consolidated Statement Of Changes In Equity For The Year Ended 31December 2010

	Share capital Kshs 000'	Share premium Kshs 000'	Revaluation reserve Kshs 000'	Revenue reserve Kshs 000'	Proposed Dividends Kshs 000'	Total Kshs 000'	Minority Interest Kshs 000'	Total Equity Kshs 000'
Balance at 1 January 2009	177,018	10,501	111,283	84,149	0	382,951	49,155	432,106
								0
Loss for the year				5,223	0	5,223	9,847	15,070
Fair value changes on investments property						0		0
Excess depreciation transfer			(3,157)	3,157		0	(48,308)	(48,308)
Depreciation Transfer						0		0
Revaluation surplus on buildings			20,000			20,000		20,000
Deferred tax on revaluation surplus			(6,000)			(6,000)		(6,000)
Dividends paid						0		0
Deferred tax on excess depreciation transfer			532	(947)		(415)		(415)
Balance at 31 December 2009	177,018	10,501	122,658	91,582	0	401,759	10,694	412,453
Net profit for the year				(5,391)		(5,391)	(22,700)	(28,091)
Excess depreciation transfer			(3,157)	3,157		0		0
Deferred tax on excess depreciation transfer			947	(947)		0		0
Proposed Dividends	0	0	0	0	0	0		0
Balance as at 31 December 2009	177,018	10,501	120,448	88,401	0	396,368	(12,006)	384,362

Approved by :

Dr.Chris Obura
Chairman

*Express Kenya Limited.***Consolidated Cash Flow Statement For The Year Ended 31 December 2010****Cash generated from operations**

	31.12.10	31.12.09
	Shs 000'	Shs 000'
Reconciliation of profit before tax to cash generated from operations		
Profit before tax	(14,869)	25,916
<u>Adjustments for:</u>		
Depreciation	84,442	131,611
(Profit)/Loss on disposal of property, plant and equipment	(6,400)	(2,418)
Profit on disposal of prepaid operating leases	0	0
Fair value changes on investment property	29,723	0
Amortisation of lease	254	254
Exchange gain on advances to related companies	0	0
Amortisation of intangible asset		
Interest expense	104,416	66,638
Operating profit before working capital changes	197,566	222,001
Changes in working capital		
Decrease/ (Increase) in Trade and other receivables	(17,154)	20,556
Decrease/(Increase) Inventories	6,454	3,502
Increase in dividends payable	0	0
(Decrease)/Increase in trade and other payables	54,560	(61,614)
Cash (used) / generated from operations	43,860	(37,556)
Cash (used)/generated from Operations	241,426	184,445
Operating activities		
Interest paid	(104,416)	(66,638)
Tax paid	(10,904)	(225)
Net cash from operating activities	126,106	117,582

Cash flow statement

Investing activities

Purchase of property, plant and equipment	(128,172)	(173,364)
Proceed from disposal of property, plant and equipment	7,868	2,418
Net cash used in investing activities	(120,304)	(170,946)

Financing activities

proceeds from finance leases	110,748	254,444
Borrowing from the bank	21,714	120,000
Payment of advances from a director	(18,726)	(150,873)
Payment of finance lease obligation	(195,822)	(73,106)
Net cash flows from financing activities	(82,086)	150,465

(Decrease)/Increase in cash and cash equivalents	(76,284)	97,101
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Movement in cash and cash equivalents

At start of the period/year	(157,779)	(254,881)
(Decrease)/Increase	(76,284)	97,101
At end of the period/year	(234,063)	(157,780)

Cash and cash equivalents

Cash in hand	5,948	2,254
Bank overdrafts	(240,011)	(160,033)
	(234,063)	(157,779)

Approved by :

Dr.Chris Obura

